

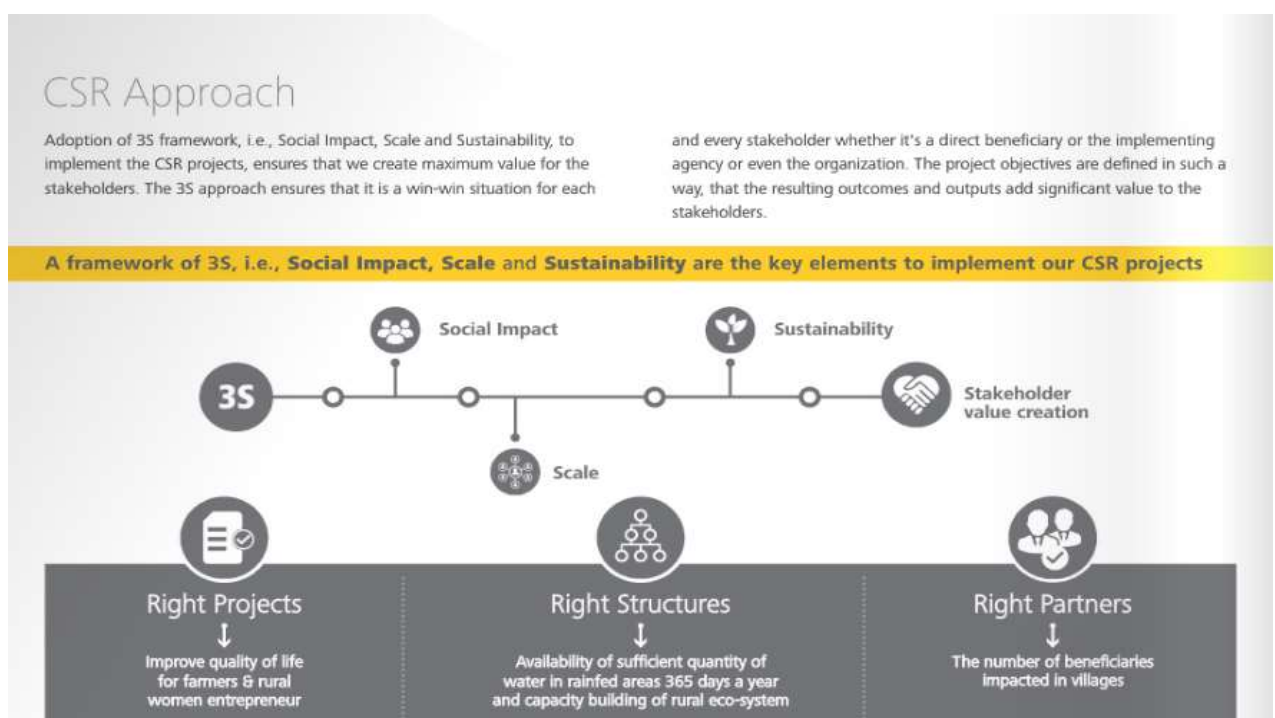
Larsen & Toubro CSR Activities

Group – 7

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INTRODUCTION

Larsen & Toubro also known as L&T is an Indian multinational conglomerate which is in many industries such as engineering, construction, manufacturing, information technology and financial services. The company consists of 118 subsidiaries, 6 associates, 25 joint venture and 35 joint operations companies which are operating in various sectors. The net income of the company is 1.3 US dollars and in 2022 it generated a revenue of 20 billion US dollars. More than 300,000 people are working in Larsen & Toubro across the globe. L & T was found on 7th February 1946. L & T has spent a lot on CSR activities, in fact in the last three years L & T has spent more than prescribed budget on CSR activities. CSR activities it does are, sustainable development of society through water management, providing better education for children and contributes to healthcare. L & T had started a program called You Grow, We Grow. This initiative had made an impact in rural areas and L & T believed that the growth of rural areas was very necessary and important towards the growth of the nation.



CSR activities of L&T towards SDG goals –

The Sustainable Development Goals (SDGs), sometimes known as the Global Goals, are a collection of 17 interconnected international objectives that serve as a "roadmap to a better and more sustainable future for all." The UN General Assembly established the SDGs in 2015, with the goal of achieving them by the year 2030. The SDGs outline global priorities and aspirations for 2030, with goals to realise ecological balance, equality, and conservation.

Here we will be focusing on how L&T is working towards maintaining the 15th goal which is protect ,restore and promote sustainable use of terrestrial ecosystems,manage forests, combat desertification, and halt land degradation and biodiversity loss.

The following activities are done –

1. Conservation to prevent soil erosion in the ICD programme
2. Village level committee to regulate the use of common resources
3. Rainwater harvesting in schools and Households
4. Lake clean-up and reserve forest clean-up drives alongside de-silting of water bodies
5. Planted 800,000+ saplings in FY21 and many fully-grown trees are nurtured across major campuses
6. Sustaining Miyawaki forest in 6 Locations with 65,000+ saplings
7. In-house guidelines on scientific tree plantation and maintenance
8. Felicitation of guests with a Tree Certificate, instead of a floral bouquet
9. Optimising the use of natural resources
10. Aforestation by creating fast-growing sustainable forest

Benefits from CSR for L&T-

1. Green CSR can lower business risk, boost reputation, and open up cost-saving opportunities.
2. Distinguishes the business from its rivals.
3. Safeguarding the stressed ecosystem.
4. Reduction of the company's carbon footprint
5. Waste reduction through recycling and reuse.
6. Less pollution, especially gases that fuel climate change, results from reduced energy use.
7. Reduction in the use of virgin materials to conserve resources.

Recommendation on new CSR activities that can be adopted-

To protect the local ecology, L&T can consider planting seedlings on private and public areas. In order to sustain biodiversity, L&T can also plant in areas that they have been developing since their inception.

L&T Financial Services

L&T is among the three Indian companies to feature in the top 46 Most Honoured Companies according to the New York-based B2B publication, Institutional Investor, was recognized as the Company of the Year by business publication, Business Standard in 2020 and has featured on the Forbes list as one of the world's best employers.

They provide various services to their customer that include

- L&T Finance
- L&T Investment Management
- L&T Infra Credit
- L&T Financial Consultants

L&T Finance:

In L&T Finance, the company provides various financial services like two-wheelers finance, Farm Equipment finance, Micro loans, Housing loan, SME Finance, Consumer loans, Real Estate finance, Infrastructure Finance, and Mutual Fund.

L&T Investment Management:

They being on delivering superior long-term risk-adjusted performance, and follow a disciplined approach to investment and risk management.

A robust monitoring and risk management process ensures checks and balances at every stage. Here is what happens through every step of their proprietary investment process - GEM.

1. Generation of ideas: Analysts and fund managers actively identify new ideas: For equity investing, the search spectrum includes investment team meetings, meetings with a company's management, competitors, suppliers, industry experts, regulators, external research, and reports. And for fixed income funds, investment ideas are born out of team strategy meetings, in-depth interaction with issuers and market participants, macro analysis, and internal and external research ideas.

2. Evaluation of companies: Filters such as liquidity, market capitalization ownership, and other parameters help identify opportunities, which are then thoroughly evaluated for profitability, business attractiveness, competitive positioning, balance sheet strength, management track record, corporate governance, and valuations for equities. Thorough credit or issuer analysis and macro analysis underpins the evaluation framework for identifying issuers and instruments for fixed income portfolios.

3. Manufacturing or Monitoring of portfolios: Among all the ideas that are generated and evaluated, the fund manager picks those that have the most potential. Portfolios are monitored continuously to ensure that they are positioned to meet their investment objectives and are within the set risk framework. A fund manager may decide to exit a holding on achieving the price target or for other reasons such as weakened business prospects or credit, or if better investment opportunities wait in the wings

In L&T Investment Management, the company provides various Investment related services like L&T Investment management, L&T Mutual Fund, Customer services, Media Center, Portfolio management services

L&T Infra Credit: L&T Infra Credit Limited (earlier known as L&T Infra Debt Fund Limited) has provided financing solutions to eligible customers including operational infrastructure project companies. Financing solutions have included advisory services, low-cost, long tenor funds as well as structured solutions which are tailor-made to the cash flows of eligible projects. In L&T Infra credit, the company provides various Investment related services like Investors, Corporate Governance.

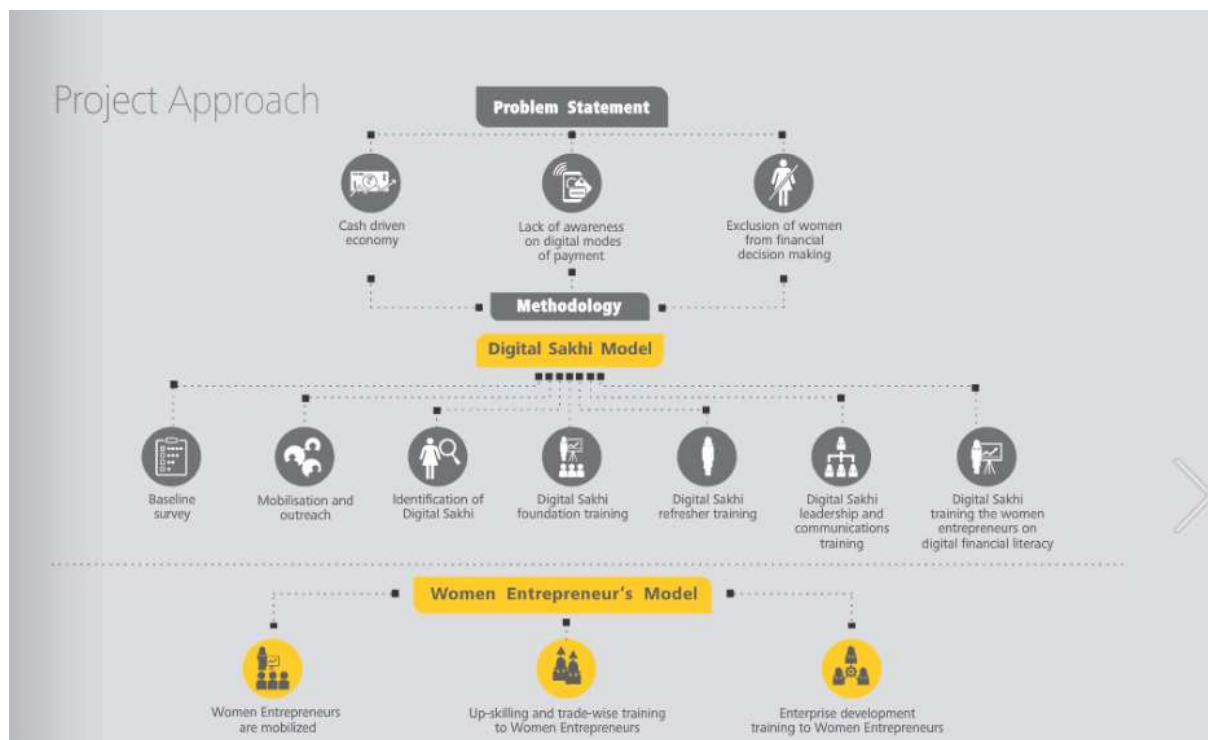
L&T Financial Consultants:

In L&T Financial Services, the company provides various consultancy services on financial matters.

Digital Sakhi: A digital financial inclusion initiative of rural women in India

For women in rural India, gaining access to financing is still difficult. The financial services company L&T Financial Services launched the "Digital Sakhi" programme in 2016 under its CSR department to solve this issue. "Sakhi" refers to a dependable friend or a partner who is always willing to lend a hand.

Each Sakhi is equipped with a mobile tablet with preloaded DFL modules. The programme also nurtures women entrepreneurs from the communities, providing them with upskilling and enterprise development training to help them build their businesses and enhance their livelihoods.



With this program's integration of inclusive development and digital finance, Sustainable Development Goal 5 on gender equality and women's empowerment would be directly supported. The goal of the Digital Sakhi programme is to raise awareness of different digital payment methods in rural and semi-urban areas.

A network of Digital Sakhis—rural women who can inform, influence, and support their communities about digital financial literacy—is a crucial component of the initiative. The initiative enables rural women to pursue entrepreneurship and maintain their livelihoods while also offering paths to formal finance. Digital Sakhis are useful tools for bringing various types of digital financial services to rural communities' last mile. Digital Sakhis serve as trusted consultants to the greater rural community as well as to women, acting as a catalyst to help connect the modern economy with isolated rural people. They also pick a group of female business owners who will receive training in agricultural commerce and future business development. This encourages female business owners to use digital transactions.



Analysis:



In India, a patriarchal structure prevents women from generally having access to assets, including more modern types like digital assets. However, in this instance, tablets have been provided to all 650 Digital Sakhis, allowing them to use them to lead sessions. Instead of a joint account, they receive an honorarium that is sent to their individual accounts. The Digital Sakhis now have control over their money and may use it for things that are essential to them, like paying for their kids' education, healthcare, and savings. Women typically utilise their money to cover their children's savings, healthcare, and education costs.

As a preventive step, the COVID-19 pandemic has in some manner boosted digital finance. Paying for utilities and mobile recharges during the lockdown was one of the biggest problems the community was forced to deal with. In all of the L&T Financial Services project locations, the Digital Sakhis actively assisted fellow villagers with the necessary online payments at this point.

Digital Sakhis are also working with a number of nationalized banks to set up their kiosks so that community members can take out cash using AEPS. Besides this, these Digital Sakhis also work with healthcare workers, as well as accredited social health activist workers, to conduct COVID-19 surveys for the government. They submit the data online to the government authorities and they actively promote the government application "Aarogya Setu", which tracks coronavirus cases and shares preventive measures and guidelines.

The Digital Sakhi model is a bottom-up programme, and the rural community remains its foundation.

A fantastic example of a model that blends the power of technology, money, entitlements, and livelihoods with rural women acting as change agents is the Digital Sakhi. Scaling up and making such programme models sustainable through partnerships with the government, other corporations, and multilateral and bilateral financing agencies will be crucial.

Finclusion: Empowering Women through Digital Finance

Based on the findings from the Digital Sakhi (DS) program's assessment survey, which was completed after one year, L&T Financial Services published a white paper implementation In the report "Inclusion: Empowering Women via Digital Financial automotives.

"Finclusion" addresses the problems and obstacles, particularly for rural women, in utilising digital technology. Finance and provides practical answers to help more women into the world of digital finance. According to the paper, women who are financially literate online not only benefit themselves but likewise, their households, communities, and the larger ecology.

In addition to Mr. Gokul Patnaik (Retd IAS), Mr. Prasanta Kumar Swain, Jt Secretary, Ministry of Agriculture, Mr. Manoj Shenoy, CE, Wealth Management & Group Head CSR - L&T Financial Services, Dr. Leena Srivastava, Vice Chancellor, TERI School of Advanced Studies, and Mr. Rathish Balakrishnan, Co-founder and Managing Partner, Sattva, attended

Basic financial literacy is the first stage in a multi-part process that leads to digital financial inclusion, according to Manoj Shenoy, CE, Wealth Management & Group Head CSR - L&T Financial Services. We believe that all stakeholders will get access to the benefits of onboard through the lessons learned from the Digital Sakhi Program that are outlined in this white paper.

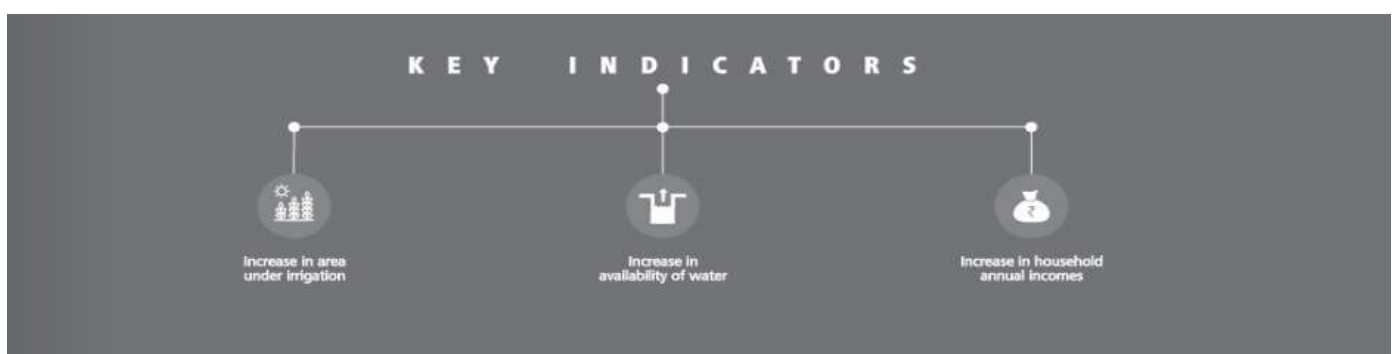
The inclusion of women in the decision-making process for household finances has been the program's greatest accomplishment. Prior to the programme, the "Male head of the household" made the majority of all significant financial choices for the household. In a recent poll, it was found that more family members, particularly women, were actively involved in making financial decisions.

The study explains the benefits of empowering women through digital financial literacy and claims that these benefits are multiplied because the extra money can then be used for family expenses like healthcare, education, and nutrition as well as for income-generating activities. The ecosystem as a whole could gain from women in rural India having access to digital financial services.

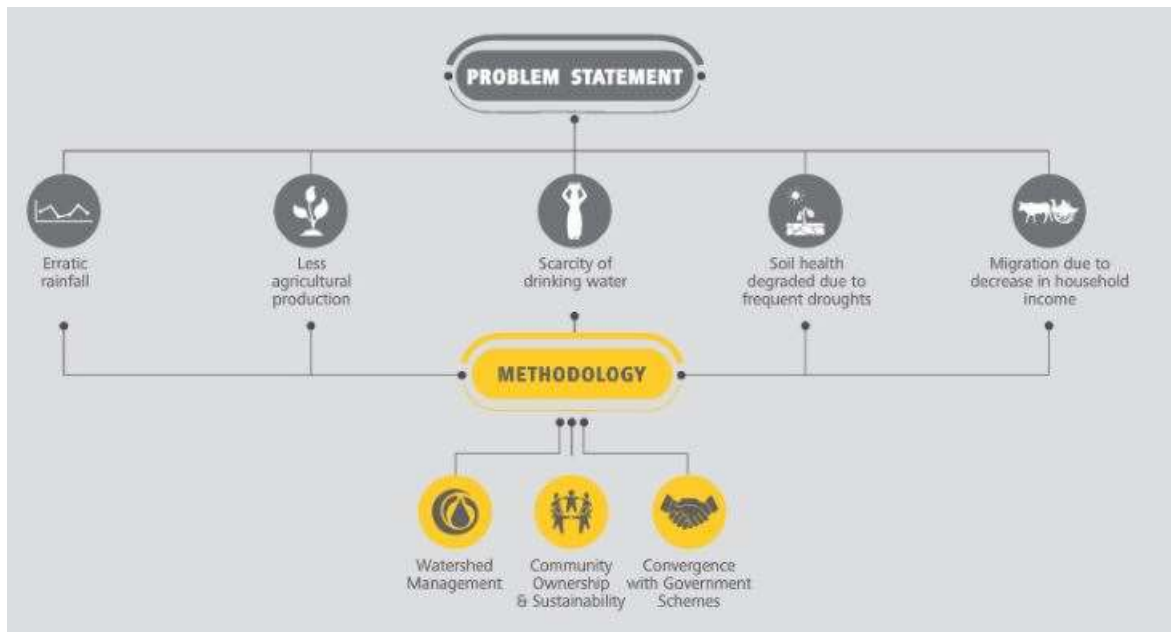
Jalvaibhav - Water Resource Management program

Jalvaibhav, the Integrated Water Resource Management program is in complete alignment with the government's effort towards ensuring climate resilient communities. The Maharashtra droughts of 2014-15 was a clear result of climate change. This resulted in LTFS taking the lead to combat the adversity and provide some respite to the agrarian community of Maharashtra by initiating the Jalvaibhav programme

The objective of the Jalvaibhav programme is to not only create water structures, but also to strengthen resilience and adaptive capacity to climate-related hazards amongst the community



Analysis and model of Jalvaibhav



DOHA MODEL : It is an eco-friendly and low cost water harvesting structure built at the bed level of the stream. It helps in harvesting rain water below ground level and recharging groundwater tables of nearby areas. Dohas help to reduce the soil erosion and recharge the ground water level with less rainfall.

WATER ACCUMULATED PITS (WAP): These structures are done on small stream or brooks to conserve water with the dimensions of 5m*3m*2m. They can hold water up to 30,000 litre at a time and can recharge up to 1.5 lakh litre per annum (assuming that it will get filled at least 5 times in a year)

CONTINUOUS CONTOUR TRENCHES (CCT): Continuous contour trenches are created on hilly areas on upper hilly tract. These help in conservation of soil and water in upper hilly tracts. Thus the water percolates down with aquifer and helps to increase water levels of well in surrounding area. Excavators are deployed for digging the contours. Distance between the contour lines is 30 meters and depth of CCT is 1 meter based on slope of hill.

LOOSE BOULDER STRUCTURES: This is a small structure constructed in the upper ridge of watershed area or waste land having slope more than 5%, undulating topography and where run off is high. This intervention helps to reduce velocity of run off and stop erosion in upper part of watershed. All of these structures are constructed with help of local material available at site.

FARM BUNDING/COMPARTMENT BUNDING: Farm bund or compartment bunding helps to reduce fertile erosion from crop land as well as water harvest at micro level. Compartment bunding can help recharge 2.5 Lakh litres of water per acre over the year.

REJUVENATION OF TUBE WELLS: Repair and rejuvenation of tube wells to effectively recharge the water percolated through revived water bodies and water harvesting structures.

EARTHEN NALA BUNDS: This is built across the stream to stop the water and conserve the water and store water. Desilting of dams and pouring silt around the villages are filled with fertile silt and this reduced water holding capacity also. The desilting of water bodies not only increases the gross water holding capacity of the water body but also increases the fertilities of the farms where the silt has been applied.

DE-SILTING OF DAMS AND POURING SILT ON THE LAND: Majority of the water bodies in and around the villages are filled with fertile silt and this has reduced water holding capacity also. The desilting of the water bodies not only increases the gross water holding capacity of the water body but also increases the fertility of the farms where the silt has been applied. The farmer where silt has been applied will show enhancement in farm incomes at least by 3 times.



We conducted the survey to understand the awareness of CSR activities among employees in L&T and other organizations. The survey aimed to check and analyze the views of individuals regarding CSR in general and how organizations are creating awareness about the CSR activities among their employees.

CSR SURVEY

1 Social activities change your perspective and positively influence brand image

☐ Yes☐ No

2 Social activities and CSR initiatives create loyalty toward the organization for employees

☐ Yes☐ No

3 How inclusive is your organization in employee participation in CSR activity

0	1	2	3	4	5	6	7	8	9	10	
Not inclusive											Extremely Inclusive

4 How transparent is your organization in CSR activities

0	1	2	3	4	5	6	7	8	9	10
not transparent			transparent					Extremely		

5 How aware are you about all the CSR activities conducted in your organization?



6 According to you, solving social/environmental problems is the responsibility of government and not business

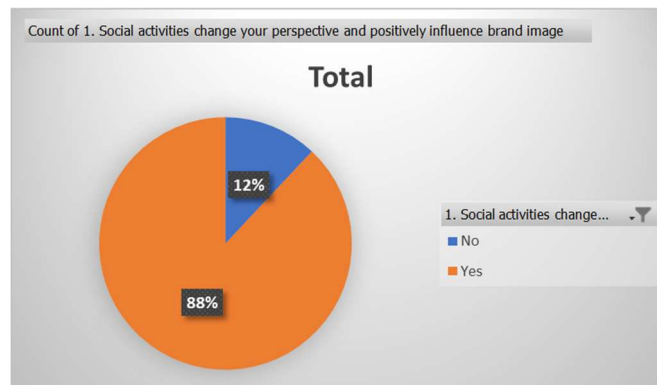
☐ Yes☐ No

7 Does L&T shares CSR activity knowledge during their orientation program while onboarding program?

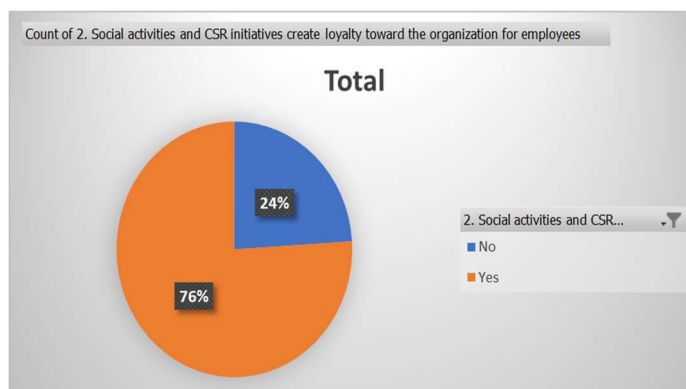
☐ Yes☐ No

Analysis

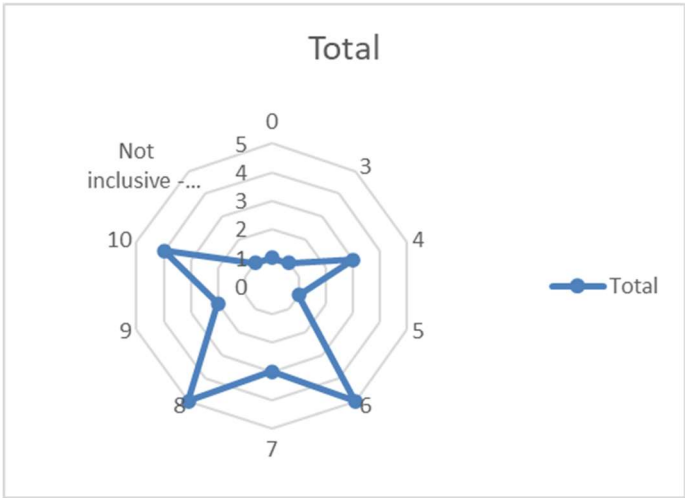
Question 1: Social activities change your perspective and positively influence brand image



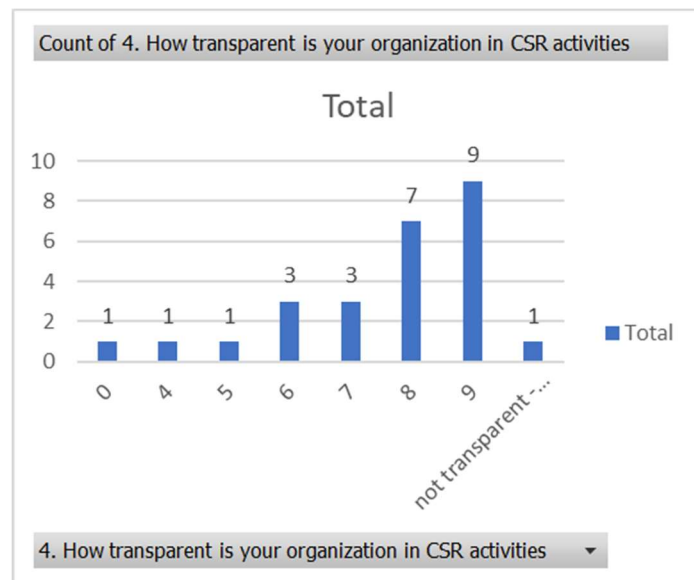
Question 2: Social activities and CSR initiatives create loyalty toward the organization for employees



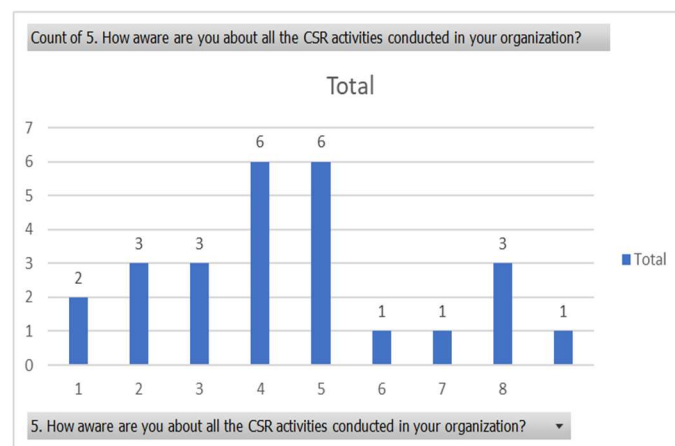
Question 3: How inclusive is your organization in employee participation in CSR activity



Question 4: How transparent is your organization in CSR activities



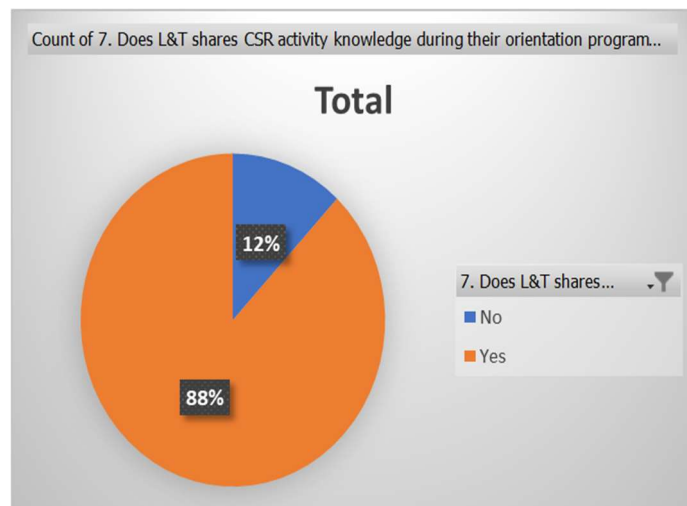
Question 5: How aware are you of all your organization's CSR activities?



Question 6: According to you, solving social/environmental problems is the responsibility of the government and not business



Question 7: Does L&T share CSR activity knowledge during their orientation and onboarding program?



Conclusion drawn:

- 76% of employees feel that it is also a responsibility of the organization to solve social/environmental problems
- One major conclusion drawn is that most employees are unaware of CSR activities conducted in their organization.
- Around 88% of individual feels that Social activities change your perspective and positively influence brand image

The 3S impact

- **Social Impact**

The projects are identified on the basis of detailed baseline and need assessment surveys. Regular assessments and stakeholder workshops, on a regular basis, ensure that voice of the community is taken into account and project model is adequately developed with clearly defined output, outcome and impact indicators. This ground work, even before the finalization of projects, helps us to ensure that projects are carefully selected and designed to create a larger social impact.

- **Scale**

Selection of partner organizations/implementing agencies is crucial for the success of the project. A thorough due diligence is carried out to ensure that we have partners who are domain experts and have a greater understanding of the on-ground situation. This gives us the liberty to focus on the expansion of projects and scaling it to other deserving locations with the right partners.

- **Sustainability**

Sustainability is a major factor that is taken into consideration while planning, implementing, and monitoring the project. To ensure long term sustenance of the project, the involvement of the local community is important in bringing about local development. When people at the community participate in the decisions that affect their lives, they feel attached to the decisions and actively participate in the implementation process which increases sense of ownership of the projects. The community participation in digging and burying trench, contributing money to facilitate the implementation, carrying building materials and cleaning the project area etc. ensures that, community takes care of its livelihood opportunities for a sustainable future.